GRUPO BIMBO

REPORTS FIRST QUARTER 2024 RESULTS

April 22, 2024



"Following a record 2023, we are kicking off 2024, a year of investing and transforming our business, with a first quarter where we saw the benefits of geographic, category and channel diversification which allowed us to invest in a business unit for future growth, which is the case of North America. We completed four bolt-on strategic acquisitions globally including one in Tunisia, a new market for us: expanding our global presence to 35 countries, while boosting growth and profitability in regions like Mexico and EAA."

– Daniel Servitje, Chairman and CEO

"The first quarter results were good and mostly, resilient, considering the super peso impact and the tough comparison that we have vs. the first quarter of 2023, where we reported record results in several metrics. Being a diversified global Company has its pluses and minuses: North America had a soft start to the year given a challenging environment, as expected, while Mexico and EAA came in strong, enabling Grupo Bimbo to continue to be in line with our expectations."

– Diego Gaxiola, CFO

Grupo Bimbo S.A.B. de C.V. ("Grupo Bimbo" or "the Company") (BMV: BIMBO) reports its results for the three months ended March 31, 2024.[1]

HIGHLIGHTS OF THE QUARTER

- Despite the tough comparison, Net Sales excluding FX rate impact were essentially flat, reflecting strong sales performance across most regions, which was primarily offset by volume softness in North America
- Gross margin expanded 90 basis points to 52.0% due to lower raw material costs across every region, which was offset by higher labor costs
- Operating Income declined 16.6% and the margin contracted 90 basis points
- Excluding the FX effect, Adjusted EBITDA[2] decreased 3.3%; the EBITDA margin contracted 30 basis points, reaching 12.7%
- Net Majority Income decreased 41.8%
- Return on Equity[3] closed the quarter at 12.6%
- Net Debt/ Adjusted EBITDA[4] ratio closed the quarter at 2.3 times
- The Company acquired Trei Brutari, a producer of bread and cookies in Romania, and three franchisees
- The Company acquired a 30% stake of UNO, the packaged bread leader in Turkey

RECENT DEVELOPMENTS

- Grupo Bimbo named Daniel Servitje Executive Chair, while Rafael Pamias has been appointed CEO of the Company, effective May 1, 2024
- The Company acquired Moulin d'Or, the market leader in branded sweet baked goods in Tunisia, expanding Grupo Bimbo's presence to 35 countries
- Grupo Bimbo acquired La Zarcereña, the leader in sweet baked goods and a participant in the cookies and snacks industries in Costa Rica
- For the 8th consecutive year, Ethisphere Institute named Grupo Bimbo as one of the World's Most Ethical Companies in 2024

FINANCIAL SUMMARY

(MILLIONS OF MEXICAN PESOS)

	1Q24	1Q23	Change (MXN)	Change (excl. FX)[5]
Net Sales	93,221	99,181	(6.0%)	(0.3%)
Gross Profit	48,488	50,684	(4.3%)	1.3%
Operating Income	6,863	8,228	(16.6%)	(13.8%)
Adjusted EBITDA	11,845	12,852	(7.8%)	(3.3%)
Net Majority Income	2,370	4,074	(41.8%)	(41.0%)
Net Debt/Adj. EBITDA	2.3x	1.7x	0.6x	
ROE[6]	12.6%	15.9%	(3.3pp)	

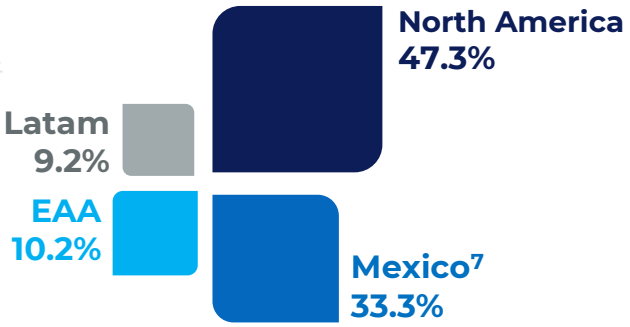
1. Figures included in this document are prepared in accordance with International Financial Reporting Standards (IFRS).
2. Earnings before interests, taxes, depreciation, amortization, impairments and Multiemployer Pension Plans ("MEPPs").
3. Adjusted with MEPPs and Ricolino's divestiture.
4. For this ratio's calculation Adjusted EBITDA does not consider the effect of IFRS16.
5. Excluding FX exchange.
6. Adjusted with Ricolino divestiture and MEPPs for 1Q23, and only MEPPs for 1Q24.

NET SALES
(MILLIONS OF MEXICAN PESOS)

Net Sales	1Q24	1Q23	% Δ (MXN)	% Δ (excl. FX)
North America	41,016	47,246	(13.2)	(4.5)
Mexico	37,386	36,244	3.2	3.2
EAA	9,832	10,291	(4.5)	5.3
Latin America	8,961	9,252	(3.1)	4.5
Grupo Bimbo	**93,221**	**99,181**	**(6.0)**	**(0.3)**

Consolidated results exclude inter-company transactions.





Revenue mix for the last twelve months ended March 31, 2024.

Despite the tough comparison, Net Sales excluding FX rate impact were essentially flat, reflecting strong sales performance across most regions, which was primarily offset by volume softness in North America.

NORTH AMERICA[8]

Net Sales excluding FX effect decreased 4.5% mainly due to a difficult comparison, a weaker consumption environment and some exit of non-branded business, partially offset by improving volume trends for certain categories including sweet baked goods, cookies and salty snacks in the region.



MEXICO

Despite the strong results of 1Q23 and the calendar effect of the easter week, Net Sales in Mexico grew 3.2%, excluding this effect sales improved by over 7% attributable to a favorable price/mix effect. Every channel and almost every category grew, most notably buns and rolls, tortillas, cookies, bread and sweet baked goods, as well as the retail and convenience channels.



7. Inter-company transactions have been removed from Mexico.
8. North America region includes operations in the United States and Canada.

EAA[9]

Sales in EAA excluding FX effect grew 5.3%, primarily due to strong sales performance across most organizations, especially Bimbo QSR and India, and to a lesser extent, the inorganic contribution from the acquisitions of Amaritta Food in Spain and Trei Brutari in Romania. This was partially offset by the calendar effect of the Easter week.



LATIN AMERICA[10]

Excluding FX effect, first quarter Net Sales increased 4.5%; due to strong volume performance in Brazil and Argentina, which was partially offset by weak results in the *Latin Centro* and *Latin Sur* divisions, due to a challenging competitive environment in Chile, Colombia and Panama, as well as by the calendar effect of the Easter week.



GROSS PROFIT
(MILLIONS OF MEXICAN PESOS)

	Gross Profit				Gross Margin (%)		
	1Q24	1Q23	% Δ (MXN)	% Δ (excl. FX)	1Q24	1Q23	Δ pp.
North America	21,505	24,704	(13.0)	(4.3)	52.4	52.3	0.1
Mexico	20,416	19,255	6.0	6.0	54.6	53.1	1.5
EAA	3,464	3,341	3.7	14.2	35.2	32.5	2.8
Latin America	3,841	4,020	(4.5)	3.4	42.9	43.5	(0.6)
Grupo Bimbo	**48,488**	**50,684**	**(4.3)**	**1.3**	**52.0**	**51.1**	**0.9**

Consolidated results exclude inter-company transactions.

Gross Profit, excluding FX effect, increased 1.3%, while the margin expanded 90 basis points to 52.0%, mainly attributable to lower raw material costs across every region, which was partially offset by higher labor costs.

OPERATING INCOME
(MILLIONS OF MEXICAN PESOS)

	Operating Income				Operating Margin (%)		
	1Q24	1Q23	% Δ (MXN)	% Δ (excl. FX)	1Q24	1Q23	Δ pp.
North America	1,394	2,770	(49.7)	(44.7)	3.4	5.9	(2.5)
Mexico	5,070	4,823	5.1	5.1	13.6	13.3	0.3
EAA	25	133	(81.3)	(76.4)	0.3	1.3	(1.0)
Latin America	348	476	(26.9)	(19.1)	3.9	5.1	(1.3)
Grupo Bimbo	**6,863**	**8,228**	**(16.6)**	**(13.8)**	**7.4**	**8.3**	**(0.9)**

Regional results do not reflect intercompany royalties and consolidated results exclude intercompany transactions.

9. EAA region includes operations in Europe, Asia and Africa.
10. Latin America region includes operations in Central and South America.

Operating Income, excluding FX effect, declined 13.8% and the margin contracted 90 basis points reaching 7.4%, due to higher distribution and administrative expenses, as well as restructuring and transformational investments in some regions.

ADJUSTED EBITDA
(MILLIONS OF MEXICAN PESOS)

	Adjusted EBITDA				Adjusted EBITDA Margin (%)		
	1Q24	1Q23	% Δ (MXN)	% Δ (excl. FX)	1Q24	1Q23	Δ pp.
North America	3,552	4,870	(27.1)	(19.8)	8.7	10.3	(1.6)
Mexico	6,649	6,128	8.5	8.5	17.8	16.9	0.9
EAA	706	709	(0.5)	12.3	7.2	6.9	0.3
Latin America	809	1,025	(21.1)	(14.8)	9.0	11.1	(2.0)
Grupo Bimbo	**11,845**	**12,852**	**(7.8)**	**(3.3)**	**12.7**	**13.0**	**(0.3)**

Regional results do not reflect intercompany royalties and consolidated results exclude intercompany transactions.

Adjusted EBITDA excluding FX effect declined 3.3%, while the margin contracted 30 basis points, to 12.7%, attributable to the abovementioned operating performance, which was offset by lower commodity costs across regions.

NORTH AMERICA

North America margin contracted 160 basis points mainly due to the strong Mexican peso impacting product cost imported from Mexico, volume softness, general inflation and transformational investments across the value chain. This was partially offset by lower commodity costs and improved productivity benefits.

MEXICO

The margin in Mexico expanded 90 basis points mainly attributable to the favorable price/mix performance, lower cost of sales and productivity savings throughout the supply chain.

EAA

EAA margin expanded 30 basis points to 7.2%, as a result of the abovementioned strong sales performance and lower cost of sales, which was partially offset by restructuring investments including the closure of a bakery in El Vergel, Spain, excluding this effect, confirmation of robust evolution across the region with a margin expansion of 300 basis points.

LATIN AMERICA

Latin America Adjusted EBITDA margin contracted 200 basis points mainly due to the devaluation in Argentina, the challenging competitive environment in Colombia and Chile and restructuring investments in Bimbo QSR Brazil, coming from the closure of a bakery in Santo Amaro. This was partially offset by productivity benefits in Brazil and lower cost of sales in the region.

COMPREHENSIVE FINANCIAL COST
(MILLIONS OF MEXICAN PESOS)

Comprehensive Financial Cost totaled Ps. 2,829 million, a 77.2% increase when compared to the first quarter of 2023, mainly attributable to higher interest expenses because of a higher debt position and the negative FX effect.

NET MAJORITY INCOME
(MILLIONS OF MEXICAN PESOS)

	Net Majority Income				Net Majority Margin (%)		
	1Q24	1Q23	% Δ (MXN)	% Δ (excl. FX)	1Q24	1Q23	Δ pp.
Grupo Bimbo	2,370	4,074	(41.8)	(41.0)	2.5	4.1	(1.6)

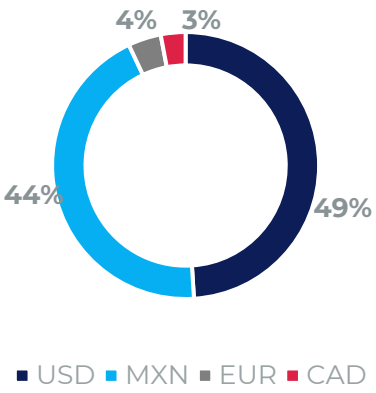
Net Majority Income excluding FX effect declined 41% and the margin contracted 160 basis points, mainly reflecting the abovementioned operational performance and higher financing costs.

FINANCIAL STRUCTURE

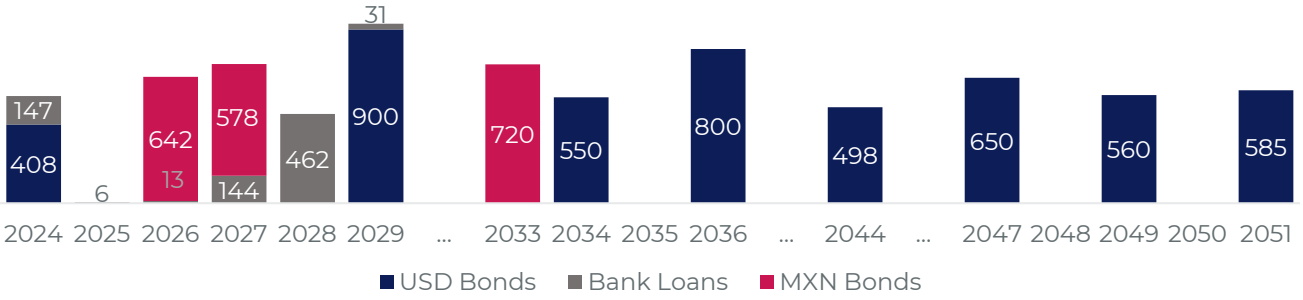
Total Debt on March 31, 2024, was Ps. 128 billion, compared to Ps. 110 billion on December 31, 2023. The increase was primarily due to the January US$1.25 billion dual-tranche issuance, where the use of proceeds included debt refinancing (including Bimbo 2024's) and other general corporate purposes.

Average debt maturity was 11.6 years with an average cost of 6.76%. Long-term Debt comprised 93% of the total; 49% of the debt was denominated in US dollars, 44% in Mexican pesos, 4% in Euros and 3% in Canadian dollars.

The Net Debt to Adjusted EBITDA ratio, which does not consider the effect of IFRS16, was 2.3 times, compared to 2.1 times on December 31, 2023.



AMORTIZATION PROFILE[11]
(MILLIONS OF US DOLLARS)



11. Does not include US$ 51 million of long-term debt at subsidiary level. Includes 30-year issuance by BBU.

CONFERENCE CALL INFORMATION

DIAL-IN

A conference call will be held today Monday, April 22, 2024, at 7:00 pm Eastern (6:00 pm Central, 5:00pm Mexico City). To access the call, please dial:
US +1 (844) 450 3853
International +1 (412) 317 6375
Mexico +52 (55) 8880 8040
Conference ID: GRUPO BIMBO

WEBCAST

A webcast for this call can also be accessed at Grupo Bimbo's website:
https://www.grupobimbo.com/en/investors

REPLAY

A replay will be available until April 29, 2024. You can access the replay through Grupo Bimbo's website https://www.grupobimbo.com/en/investors or by dialing:

US +1 (877) 344 7529
International +1 (412) 317 0088
Canada +1 (855) 669 9658
Conference ID: 9689966

ABOUT GRUPO BIMBO

Grupo Bimbo is the leader and largest baking Company in the world and a relevant participant in snacks. Grupo Bimbo has 227 bakeries and plants and more than 1,500 sales centers strategically located in 35 countries throughout the Americas, Europe, Asia and Africa. Its main product lines include sliced bread, buns & rolls, pastries, cakes, cookies, toast bread, English muffins, bagels, tortillas & flatbreads and salty snacks, among others. Grupo Bimbo has one of the largest direct distribution networks in the world with more than 57,000 routes and over 151,000 associates. Its shares trade on the Mexican Stock Exchange (BMV) under the ticker symbol BIMBO, and in the over-the-counter market in the United States with a Level 1 ADR, under the ticker symbol BMBOY.

NOTE ON FORWARD-LOOKING STATEMENTS

This announcement contains certain statements regarding the expected financial and operating performance of Grupo Bimbo, S.A.B. de C.V., which are based on current financial information, operating levels, and market conditions, as well as on estimations of the Board of Directors of the Company related to possible future events. The results of the Company may differ in regards with those expressed on these statements, due to different factors that are beyond the Company's control, such as: adjustments in price levels, variations in the costs of its raw materials, changes in laws and regulations, or economic or political conditions not foreseen in the countries where the Company operates. Therefore, the Company is not responsible for such differences in the information and suggests that readers review such statements prudently. Moreover, the Company will not undertake any obligation to publicly release any revisions to the statements due to variations of such factors after the date of this press release.

INVESTOR RELATIONS CONTACT

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CONSOLIDATED BALANCE SHEET
(MILLIONS OF MEXICAN PESOS)

	Mar, 2024	Dec, 2023	% Change
TOTAL ASSETS	**363,596**	**348,102**	**4.5%**
CURRENT ASSETS	**71,481**	**58,914**	**21.3%**
Cash and Equivalents	17,568	6,353	>100%
Accounts and Notes Receivables, Net	24,985	24,013	4.0%
Inventories	16,153	16,120	0.2%
Other Current Assets	12,631	12,272	2.9%
Assets Available for Sale	144	156	(7.7%)
Property, Plant and Equipment	130,455	129,156	1.0%
Intangible Assets and Deferred Charges, Net and Investment in Shares of Associated Companies	127,895	126,292	1.3%
Lease Rights of Use	25,931	25,848	0.3%
Other Assets	7,834	7,892	(0.7%)
TOTAL LIABILITIES	**252,973**	**236,474**	**7.0%**
CURRENT LIABILITIES	**81,748**	**87,192**	**(6.2%)**
Trade Accounts Payable	35,142	41,821	(16.0%)
Short-term Debt	9,369	12,932	(27.6%)
Short-term lease liability	5,845	5,751	1.6%
Other Current Liabilities	31,392	26,688	17.6%
Long-term Debt	119,022	97,003	22.7%
Long-term lease liability	21,113	21,064	0.2%
Other Long-term Non-Financial Liabilities	31,090	31,215	(0.4%)
SHAREHOLDERS' EQUITY	**110,623**	**111,628**	(0.9%)
Minority Shareholders' Equity	3,178	3,306	(3.9%)
Majority Shareholders' Equity	107,445	108,322	(0.8%)

CONSOLIDATED INCOME STATEMENT
(MILLIONS OF MEXICAN PESOS)

	1Q24	1Q23	% Change
Net Sales	93,221	99,181	(6.0%)
Cost of Goods Sold	44,732	48,497	(7.8%)
GROSS PROFIT	**48,488**	**50,684**	**(4.3%)**
General Expenses	40,531	41,788	(3.0%)
Other Expenses (Income), Net	1,094	668	63.8%
OPERATING INCOME	**6,863**	**8,228**	(16.6%)
Comprehensive Financing Cost	2,829	1,596	77.3%
Interest Paid Net	2,755	1,653	66.7%
Exchange Rate Loss (Gain)	161	(51)	>100%
Monetary Loss (Gain)	(86)	(5)	>100%
Share in Results of Associated Companies	111	69	60.9%
NET INCOME BEFORE TAXES	**4,145**	**6,701**	**(38.1%)**
Income Taxes	1,430	2,202	(35.1%)
INCOME (LOSS) FROM CONTINUED OPERATIONS	**2,715**	**4,499**	**(39.7%)**
INCOME FROM DISCONTINUED OPERATIONS	**0**	**(28)**	**(100.0%)**
Net Minority Income	345	397	(13.1%)
NET MAJORITY INCOME	**2,370**	**4,074**	**(41.8%)**
ADJUSTED EBITDA	**11,845**	**12,852**	**(7.8%)**